



Entrepreneurial Marketing and Sales



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Learning Outcomes

- After reading this chapter, you should be able to answer these questions:
 - Define your market in terms of TAM, SAM and SOM
 - Segment your customers
 - Select your beachhead market

Macro-Market Perspective



- Three crucial questions about markets
 1. Is your market large enough today to allow different competitors the opportunity to serve different segments without getting in each other's way?
 2. What are the predictions for your market's short-term growth rate? (In the absence of other information to the contrary, the recent rate of growth in your market may be the best available predictor of growth in the near future.)
 3. What are the predictions for your market's long-term growth rate? (This is likely to be influenced heavily by macro-trends: economic, demographic, sociocultural, technological, regulatory and/or natural.)
- What investors want to know
 - whether the opportunity has the potential to be big – in other words, scale.
 - Large growing markets make it possible to grow large companies.
 - Equally important, large markets offer the chance for multiple players to be successful, each serving a different segment perhaps in a different way. That's good for reducing risk, because it offers multiple pathways to success.

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Market Size



- As of 2022, the global Second Hand Apparel market was estimated at USD 33002.0 million, and it's anticipated to reach USD 77981.3 million in 2028, with a CAGR of 15.41% during the forecast years.^{25 Jan 2024}
- In 2024, the revenue in the Apparel market in Kenya amounts to US\$5.95bn. It is projected to experience an annual growth rate of 3.51% (CAGR 2024-2028). Among the different segments of the market, the largest one is Women's Apparel, with a market volume of US\$2.23bn in 2024.
- **According to the study, 88% of Kenyans (or 9 out of 10) purchase "mitumba," or used clothing that is imported in large quantities and sold primarily by street ...**
- The Kenya Used Car Market size is estimated at USD 1.23 billion in 2024, and is expected to reach USD 1.39 billion by 2029, growing at a CAGR of greater than 2% during the forecast period (2024-2029).

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Market Size



- TAM or Total Available Market is the total market demand for a product or service.
- serviceable available market (SAM), which is the portion of the market that your business can serve based on your products, services, and location
- SOM or Serviceable Obtainable Market is the portion of SAM that you can capture.



Entrepreneurs must focus on the target market (SOM) within the TAM and the SAM and allocate resources to attract customers who can be satisfied by the value proposition.

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Target Market Size (SOM)



- To be realistic your SOM needs to factor in:
 - Your product: people will want to buy your goods
 - Your marketing plan and the identified distribution channels: you have a clear plan to reach a large portion of your target customers
 - Your SAM and the strength of your competition: chances are that you are not going to take 50% market share within 6 months. Therefore your SOM needs to be a reasonable fraction of your Serviceable Available Market.
- If you can deliver SOM in time then you are capable and credible, and you might be able to increase the market share and reach a more important penetration of the SAM which would deliver a good return on investment.
- Once you have demonstrated your ability to penetrate a local market and de-risked the investment, the investor can start looking at how you can expand and increase the company's penetration within the TAM.

The Micro-Market Perspective



- Without customers, there can be no business. Without satisfying what the customers want or need, (resolving their pain), there will be no customers.
- It's not about your revolutionary products or services. Its about your target customers.
- It's about providing differentiated benefits that are so compelling that customers abandon their allegiance to former providers and give their business to you.
- **Questions about target markets**
 - A market is a group of consumers what have the purchasing power and unsatisfied needs. A new venture is likely to survive if a market exists for its products or service.
 - **Your target market is a particular group of consumers at which your product or service is aimed.**

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Four crucial micro-level questions about target markets



1. Is there a target market segment where we might enter the market in which we offer the customer clear and compelling benefits, or –better yet – resolve their pain, at a price he or she is willing to pay?
 2. Are these benefits, *in the customers' minds*, different from and superior in some way – better, faster, cheaper or whatever – to what's currently offered by other solutions?
 3. How large is this segment, and how fast is it growing?
 4. Is it likely that our entry into this segment will provide us entry into other segments that we may wish to target in the future?
- **What do investors want to know from a micro-market perspective?**
 - They want to know about the customer pain that your offering will resolve.
 - They want to know who the target customer who has the pain is, and they want evidence that the target customer will buy what's to be offered at a price that works for you.

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market segmentation



- **Market segmentation** is the process of dividing a target **market** into smaller, more defined categories. It **segments** customers and audiences into groups that share similar characteristics.
 - Segmentation allows you tailor make your marketing approach to the audience in a way that is relevant and impactful. **Market segmentation** is the process of dividing a target **market** into smaller, more defined categories. It **segments** customers and audiences into groups that share similar characteristics.
- Customer groups represent separate segments if:
 - Their needs require and justify a distinct offer
 - They are reached through different Distribution Channels
 - They require different types of relationships
 - They have substantially different profitability
 - They are willing to pay for different aspects of the offer

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4 types of market segmentation



1. Demographic segmentation: The *who*

- Demographic segmentation looks at identifiable non-character traits such as:
 - Age
 - Gender
 - Ethnicity
 - Income
 - Level of education
 - Religion
 - Profession/role in a company
- For example, demographic segmentation might target potential customers based on their income, so your marketing budget isn't wasted directing your messaging at people who likely can't afford your product.

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4 types of market segmentation



2. Psychographic segmentation: The *why*

- Psychographic segmentation is focused on your customers' personalities and interests. Here we might look at customers and define them by their:
 - Personality traits
 - Hobbies
 - Life goals
 - Values
 - Beliefs
 - Lifestyles
- Compared to demographic segmentation, this can be a harder set to identify. Good research is vital and, when done well, psychographic segmentation can allow for incredibly effective marketing that consumers will feel speaks to them on a much more personal level.*

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4 types of market segmentation



3. Geographic segmentation: The *where*

- Geographic segmentation is often one of the easiest to identify, grouping customers with regards to their physical location. This can be defined in any number of ways:
 - Country
 - Region,
 - City

It's possible to group customers within a set radius of a certain location.

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4 types of market segmentation



4. Behavioural segmentation: The *how*

- As with psychographic segmentation, it requires a little data to be truly effective – but much of this can be gathered via your website itself. Here we group customers with regards to their:
 - Spending habits
 - Purchasing habits
 - Browsing habits
 - Interactions with the brand
 - Loyalty to brand
 - Previous product ratings
- For example, you can distinguish between a first-time visitor and someone who's already been on your site multiple times but haven't purchased. Based on this behavioral data, you can tailor our messaging accordingly:
 - First time visitor:** *Hey, learn about our latest collection!*
 - Returning visitor:** *Join our loyalty program and start saving!*

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Other types of market segmentation



- **Technographic segmentation**- identifies and groups customers with regards to the role technology plays in their lives. This might mean recognizing groups of early adopters when marketing new technologies. It might also be as simple as recognizing the device users access the site from and presenting deals differently.
- **Generational and life stage segmentation**- Generational and life stage segmentation both expand on aspects of the demographic approach.
 - Identifying customers by generation allows for broad but distinct approaches depending on age.
 - Life stage segmentation, however, works similarly whilst divorcing life experience from age itself. Instead, it groups customers by factors including marital status, home-ownership, and whether or not they have children (and more specific still by considering the ages of their children).
- **Transactional segmentation**- Transactional segmentation is based on previous interactions your customer has had with your brand. Whilst it can draw on behavioral elements, it also has a much wider scope – considering the initial source of their registration with your business, how long it has been since their last order, and how many orders they've made overall.

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MVP and Beachhead Market



- Select a beachhead market via selecting just ONE market opportunity from your market segmentation.
- The first market you attack will be a significant learning experience (with perhaps a lot of failures) for you, so you are better off learning, *persevering* or *pivoting* in a smaller market
- You have limited capital and experience. You need to figure out your minimum viable product (or service) and your beachhead market (starting small)
- Some criteria that may prove useful in choosing your beachhead market:
 - Is the target customer well-funded? (*affordability metric*)
 - Is the target customer readily accessible to your sales force? (*accessibility metric*)
 - Does the target customer have a compelling reason to buy? (*motivational level*)
 - Can you today, with the help of partners, deliver a whole product? (*readiness level*)
 - Is there entrenched competition that could block you? (*competition level*)

“PERSON WHO CHASES TWO RABBITS CATCHES NEITHER”
— ROMANIAN PROVERB



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